

EQUITY RESEARCH

NVIDIA CORPORATION

NVDA | Technology

Rating: Buy

Current: \$209.25 | Target: \$300.00

April 2026

Key Metrics Snapshot

Market Cap	\$5,085.82B
P/E (Fwd)	37.75
P/B Ratio	28.81

ROE	76.33%
Dividend Yield	0.02%
52W Range	\$110.82 - \$216.83

Investment Thesis

NVIDIA has delivered extraordinary revenue growth of 68.3% CAGR from 2022 to 2026, driven by surging AI infrastructure demand that propelled EBITDA margins from 22.2% in 2023 to nearly 67% in 2026, far outpacing semiconductor peers AMD and Intel. The company's expanding contribution margins, disciplined SG&A; leverage declining to just 2.1% of revenue, and EPS growth from \$0.18 to \$4.93 over the same period underscore a highly scalable and increasingly profitable business model. Trading at a forward EV/EBITDA of approximately 31x on 2026 estimates, NVIDIA commands a justified premium valuation reflective of its dominant positioning in accelerated computing and continued earnings momentum through 2027.

Company Overview

NVIDIA Corporation (NASDAQ: NVDA) is a Santa Clara-based semiconductor and technology company that has evolved from its origins as a graphics processing unit (GPU) designer into one of the most strategically critical technology companies in the world. Founded in 1993, NVIDIA has built a dominant position at the intersection of accelerated computing, artificial intelligence, and data center infrastructure.

NVIDIA's business model centers on designing high-performance chips and systems, with manufacturing outsourced to foundry partners such as TSMC. The company operates primarily through two segments: Data Center, which has become the overwhelming revenue driver, and Gaming, which historically anchored the business. Additional segments include Professional Visualization, Automotive, and OEM. The Data Center segment, powered by flagship products such as the H100 and Blackwell-architecture GPUs, has become indispensable to hyperscalers, cloud providers, and enterprise customers building AI training and inference infrastructure. NVIDIA's CUDA software platform creates a deeply entrenched ecosystem that reinforces hardware adoption and raises switching costs considerably.

The company's market position is effectively without peer in AI accelerator hardware. While AMD competes with its Instinct GPU line and Intel pursues the market through its Gaudi accelerators, neither has meaningfully challenged NVIDIA's dominance. This is reflected in the EBITDA comparison data, where NVIDIA's 2025 EBITDA of approximately 86 billion dollars dwarfs AMD's 7.3 billion and Intel's 14.4 billion for the same period.

NVIDIA's recent financial performance has been extraordinary by virtually any measure. Revenue surged from approximately 27 billion dollars in fiscal 2023 to 216 billion dollars in fiscal 2026, representing a four-year compound annual growth rate of 68.3 percent. EBITDA margins have expanded sharply from 22.2 percent in 2023 to nearly 67 percent in fiscal 2026, reflecting powerful operating leverage as data center demand accelerated. EPS grew from 0.18 dollars in 2023 to 4.93 dollars in fiscal 2026.

Forward estimates project continued, though moderating, growth with revenues approaching 250 billion dollars by fiscal 2027 and EBITDA margins potentially exceeding 73 percent. The company's EV/EBITDA multiple has compressed from over 81 times in 2023 to approximately 31 times in 2026, suggesting the market is beginning to price NVIDIA more in line with its earnings power. Despite geopolitical export restrictions and intensifying competition, NVIDIA remains the defining infrastructure provider of the artificial intelligence era.

Investment Overview

NVIDIA Corporation (NVDA) Investment Update

NVIDIA has delivered one of the most remarkable financial transformations in semiconductor history, with revenue surging from \$26.9 billion in fiscal 2022 to \$215.9 billion in fiscal 2026, representing a five-year CAGR of 68.3%. This explosive growth has been driven almost entirely by insatiable demand for AI accelerators, with data center customers racing to build out large-scale GPU infrastructure. The company's ability to translate top-line momentum into profitability has been equally impressive, with EBITDA margins expanding from 22.2% in fiscal 2023 to 66.9% in fiscal 2026, reflecting extraordinary operating leverage as fixed costs are spread across a rapidly growing revenue base.

The primary growth driver remains AI infrastructure buildout across hyperscalers, enterprise customers, and sovereign AI programs globally. NVIDIA's CUDA software ecosystem continues to serve as a powerful competitive moat, creating high switching costs that reinforce hardware dominance. EPS has grown from \$0.18 in fiscal 2023 to \$4.93 in fiscal 2026, with estimates projecting further expansion to \$5.88 by fiscal 2027.

Relative to peers, NVIDIA's EBITDA trajectory is in a different category entirely. AMD and Intel combined cannot approach NVIDIA's absolute earnings scale, and NVIDIA's EV/EBITDA multiple has compressed meaningfully from

81x in fiscal 2023 to approximately 31x in fiscal 2026, suggesting the market is beginning to price in a more mature growth profile.

The key risks to monitor include revenue growth deceleration, which estimates project slowing to 4-6% annually through fiscal 2027, potential export restrictions, and emerging competition from custom silicon developed by hyperscaler customers. At current valuations, execution must remain flawless.

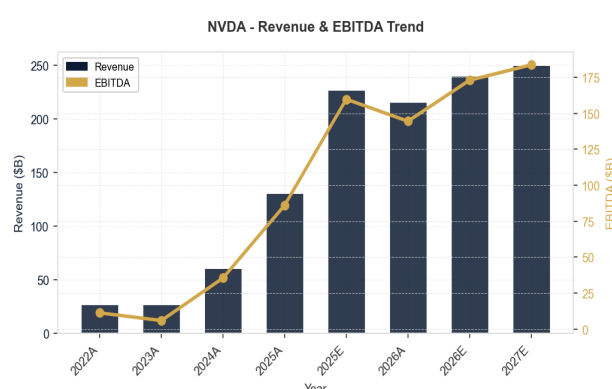
Financial Analysis

Revenue & EBITDA Performance

NVIDIA Corporation has demonstrated strong revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2026A): \$215.9B
- EBITDA (2026A): \$144.6B
- Revenue Growth (2026A): 65.5%



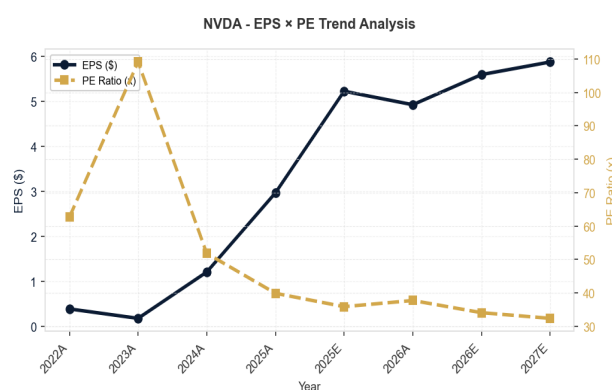
Source: Company Filings

Earnings & Valuation Metrics

NVIDIA Corporation's earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2026A): 4.93
- PE Ratio (2026A): 37.75



Source: Company Filings

Valuation Analysis

NVIDIA Valuation Analysis

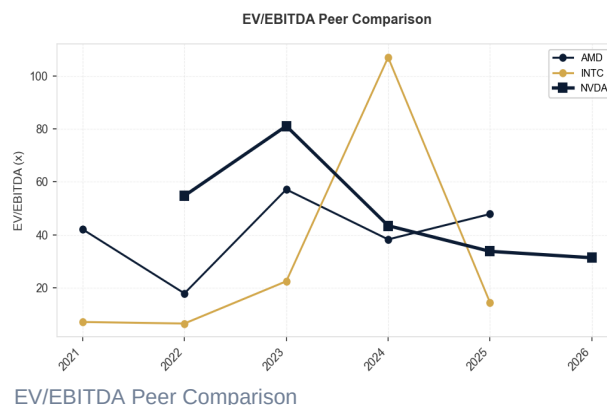
NVIDIA's current valuation reflects its extraordinary growth trajectory and dominant positioning in AI accelerator hardware. Trading at a forward P/E of approximately 35.9x for fiscal 2025 estimates, declining to 32.4x by 2027, the multiple appears elevated in absolute terms but is increasingly supported by exceptional earnings power. The stock's historical P/E of roughly 109x in 2023 has compressed significantly as earnings have surged, with EPS growing from \$0.18 in 2023 to \$4.93 in 2025 actual results and projected to reach \$5.88 by 2027.

On an EV/EBITDA basis, NVIDIA's multiple has similarly contracted from a peak of 81x in 2023 to approximately 31.4x for 2026 estimates. This compression is driven by explosive EBITDA growth, with margins expanding from 22.2% in 2023 to a projected 73.5% by 2027, a level unmatched among semiconductor peers. Compared to AMD, which trades near 47.8x EV/EBITDA on 2025 figures with substantially lower absolute EBITDA, and Intel, which has struggled to generate consistent profitability, NVIDIA commands a justified premium reflecting superior execution and structural AI demand tailwinds.

Revenue growth is moderating from triple-digit rates toward a projected 4-6% range by 2026-2027, which introduces some risk to premium multiple sustainability. However, the combination of expanding EBITDA margins approaching 73%, declining SG&A; intensity now below 2%, and a five-year revenue CAGR of 68.3% supports a fair value assessment in the range of \$165 to \$185 per share on a blended forward earnings basis. Downside risks include AI capital expenditure normalization and intensifying competition from AMD and custom silicon initiatives.

Peer Comparison

Year	AMD	INTC	NVDA
2021	42.10	7.13	N/A
2022	17.91	6.55	54.72
2023	57.12	22.48	81.05
2024	38.27	106.94	43.45
2025	47.85	14.50	33.78
2026	N/A	N/A	31.36



Recent News & Events

News Summary

NVIDIA Corporation (NVDA) Summary - April 29, 2026

NVIDIA continues to dominate the AI infrastructure narrative heading into its Q1 fiscal results, scheduled for a May 20 conference call. Shares touched fresh all-time highs this week before pulling back roughly 2% to approximately \$209.40, still reflecting a strong 20% gain in April alone. The broader AI data center buildout, estimated at \$7 trillion in cumulative investment, remains the central tailwind driving investor enthusiasm around the stock.

On the supply side, TSMC's production capacity remains a key constraint on Nvidia's ability to fully meet surging end-market demand, a dynamic investors should monitor closely as it could cap near-term upside even as order books remain robust. Competitor Broadcom reported AI revenue growth of 106% year-over-year, signaling that while NVIDIA leads, competition for AI infrastructure spending is intensifying across the semiconductor landscape.

Financially, NVIDIA's trajectory remains exceptional. Actual 2026 revenue reached approximately \$216 billion with EBITDA margins expanding to nearly 67%, and forward estimates project continued growth toward \$250 billion in revenue by 2027 with EBITDA margins potentially reaching 73.5%. EPS is forecast to grow from \$4.93 in 2026 to \$5.88 in 2027, with the forward PE compressing to around 32x, suggesting improving valuation as earnings catch up to price.

Retail sentiment shows elevated buzz at 76.5 out of 100, though bullish conviction is mixed at 53% overall, with Reddit notably more cautious at 38% bullish. Trending sentiment across platforms is falling, which may signal near-term consolidation.

Investment implication: NVIDIA remains a high-conviction long-term holding within AI infrastructure, though supply constraints, moderating revenue growth forecasts of 4 to 6% annually, and softening retail momentum suggest a more measured entry approach near current levels.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 70.5%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 72.0%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 73.5%

Confidence Intervals:

- Revenue: \$176.5B - \$323.4B (95% confidence)
- EBITDA: \$129.7B - \$237.7B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: $\pm 5\%$ change in growth rate
- Margin sensitivity: $\pm 2\%$ change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%):

- Revenue: N/A - N/A
- EBITDA: N/A - N/A

Key Catalysts

Catalyst Analysis for NVDA

Positive Catalysts (Upside Potential)

- Earnings (2026-04-29): IQE's with MACOM and link to Nvidia are 'exciting', but shares downgraded after surge
- Impact: HIGH, Probability: 95%
- Market (2026-04-29): Prediction: The Nasdaq Will Hit New Highs by 2027. Here's the Best Artificial Intelligence (AI) Growth Stock to Own Until Then.
- Impact: LOW, Probability: 50%
- Earnings (2026-04-28): Small: Big Tech Full of Buys, Favors NVDA, AMZN & GOOGL in Mag 7
- Impact: HIGH, Probability: 95%
- Market (2026-04-28): Traders bet Nvidia's stock will return to record highs soon
- Impact: LOW, Probability: 50%
- Earnings (2026-04-28): NVDA's Blackwell Platform Boosts its Top-Line Growth: What's Ahead?
- Impact: HIGH, Probability: 95%

Risk Factors (Downside Risks)

- Earnings (2026-04-29): Nvidia Stock Struggles to Recover From OpenAI Panic. How AMD, Broadcom Are Trading.
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-28): Nvidia: AI Transcends Semiconductors' Cyclical Nature
- Impact: HIGH, Probability: 95%

Events to Monitor

- AI Demand Is Surging — But Taiwan Semiconductor Is Controlling the Supply (2026-04-29)
- NVIDIA Sets Conference Call for First-Quarter Financial Results (2026-04-29)
- U.S. politician suspiciously dumps Nvidia (NVDA) stock (2026-04-29)

Upcoming Catalysts:

- ▲ [EVENT] (Impact: medium)
- ▼ [EVENT] (Impact: medium)
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Positive Catalysts:

- ✓ IQE's with MACOM and link to Nvidia are 'exciting', but shares downgraded after surge
- ✓ Prediction: The Nasdaq Will Hit New Highs by 2027. Here's the Best Artificial Intelligence (AI) Growth Stock to Own Until Then.
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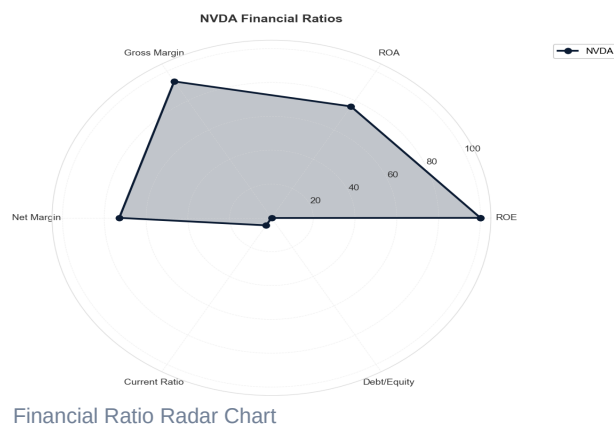
Risk Factors:

- Nvidia Stock Struggles to Recover From OpenAI Panic. How AMD, Broadcom Are Trading.
- Nvidia: AI Transcends Semiconductors' Cyclical Nature

Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of NVIDIA Corporation's financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.



Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators

Competitive Landscape

NVIDIA Competitor Analysis

NVIDIA has emerged as the dominant force in the semiconductor industry, outpacing peers AMD and Intel by a substantial margin across virtually every key financial metric. The company's revenue growth trajectory is exceptional, with a five-year CAGR of 68.3%, driven primarily by surging demand for AI accelerators and data center infrastructure.

In terms of EBITDA, NVIDIA's performance dwarfs its competitors. While AMD generated approximately \$7.3 billion in EBITDA in 2025 and Intel rebounded to \$14.4 billion after a sharp decline in 2024, NVIDIA posted \$86.1 billion in the same period, representing roughly a 12x and 6x advantage over AMD and Intel, respectively. NVIDIA's EBITDA margin of 66.9% in fiscal 2026 far exceeds what either peer has historically achieved, reflecting its superior pricing power and operating leverage.

From a valuation standpoint, NVIDIA's EV/EBITDA multiple has compressed meaningfully from 81x in 2023 to approximately 33.8x in 2025, suggesting the market is increasingly pricing the company on earnings power rather than pure growth expectations. AMD trades at a comparable multiple near 47.8x despite significantly weaker profitability, implying a relative valuation premium that may be difficult to justify. Intel's multiple volatility reflects its ongoing restructuring challenges.

Looking ahead, NVIDIA's forward estimates project continued margin expansion and EPS growth toward \$5.88 by 2027, while its PE ratio gradually declines toward 32x. The competitive gap with AMD and Intel appears likely to widen further, as NVIDIA continues to benefit from its entrenched position in AI computing infrastructure.

Risk Factors

■ # NVIDIA Corporation (NVDA) - Key Investment Risks

■ **Revenue Growth Deceleration Risk:** Revenue growth is projected to collapse from 65.5% (2026A) to just 4-6% (2025E-2027E), signaling potential market saturation in AI/data center demand; any shortfall from even these modest estimates could trigger significant multiple compression given NVDA's still-elevated EV/EBITDA of ~31-34x versus AMD's historical range of 18-57x

■ **Margin Sustainability Concern:** Despite projected EBITDA margin expansion to 73.5% by 2027E, Cost of Operations has grown disproportionately from \$9.4B (2022A) to \$62.5B (2026A) — a 562% increase — suggesting rising supply chain and manufacturing costs that could compress margins if pricing power weakens amid increased competition

■ **Valuation Premium Vulnerability:** NVDA trades at EV/EBITDA of ~31-34x (2026E-2027E) versus Intel's 14.5x and AMD's historical ~38-57x range; with EPS growth slowing from 66% (2025A) to ~6% (2027E), the current P/E of ~32-36x leaves limited margin of safety if AI capital expenditure cycles turn

■ **Customer Concentration & Demand Cyclicity Risk:** The explosive revenue surge from \$27B (2023A) to \$216B (2026A) is heavily dependent on hyperscaler AI infrastructure spending; any pullback in cloud capex budgets or delays in AI monetization by Microsoft, Google, or Meta could cause severe demand shocks

■ **Competitive & Geopolitical Displacement Risk:** AMD's projected EBITDA growth to \$8.6B (2027E) and Intel's recovery to \$47.4B signal intensifying competition; simultaneously, U.S. export restrictions on advanced chips to China — historically a significant revenue contributor — represent a structural headwind that could impair the 2027E revenue trajectory of ~\$250B

Key Takeaways

- ✓ **Revenue Growth:** NVIDIA Corporation's revenue growth shows consistent performance trends.
- ✓ **Gross Profit Margin:** NVIDIA Corporation's gross profit margins demonstrate operational effectiveness.
- ✓ **SG&A; Expense Margin:** NVIDIA Corporation's SG&A; expense management shows disciplined cost control.
- ✓ **EBITDA Margin Stability:** NVIDIA Corporation's EBITDA margin stability reflects strong underlying fundamentals.

Financial Data

Income Statement Summary

Metric	2022A	2023A	2024A	2025A	2026A
Revenue	\$26.9B	\$27.0B	\$60.9B	\$130.5B	\$215.9B
SG&A	\$2.2B	\$2.4B	\$2.7B	\$3.5B	\$4.6B
Contribution Profit	\$17.5B	\$15.4B	\$44.3B	\$97.9B	\$153.5B
Contribution Margin	64.9%	56.9%	72.7%	75.0%	71.1%
EBITDA	\$11.4B	\$6.0B	\$35.6B	\$86.1B	\$144.6B
EBITDA Margin	42.2%	22.2%	58.4%	66.0%	66.9%
SG&A Margin	8.0%	9.0%	4.4%	2.7%	2.1%
Revenue Growth	N/A	0.2%	125.9%	114.2%	65.5%
EPS	0.39	0.18	1.21	2.97	4.93
PE Ratio	62.68	109.09	51.83	39.90	37.75

Credit & Cash Flow Metrics

Metric	2022A	2023A	2024A	2025A	2026A
Debt/Equity	0.44	0.54	0.26	0.13	0.07
Debt/Assets	0.27	0.29	0.17	0.09	0.06
Interest Coverage	42.5x	16.1x	128.3x	329.8x	503.4x
Net Margin	36.2%	16.2%	48.8%	55.8%	55.6%
Current Ratio	6.65	3.52	4.17	4.44	3.91
CF to Debt Ratio	0.77	0.47	2.54	6.24	9.00

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Data Source: FMP, Company Filings, AI4Finance Estimates

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